MTN Nigeria

FY 2025 Results Call

Transcript

Date: 27 February 2026

Chima Nwaokoma: Good day, ladies and gentlemen, and thank you for joining us today to discuss our 2025 financial results. My name is Chimaobi Nwaokoma and I am responsible for Investor Relations.

Joining me on the call today are Karl Toriola, Chief Executive Officer; Modupe Kadri, Chief Financial Officer; and Ayham Moussa, Chief Operating Officer.

We also have Omolara Michael-Nwadu, Acting Chief Executive Officer, MoMo PSB. She took over from Phrase Lubega, who has completed his tenure and returned to MTN Group.

Lastly, we have Thato Motlanthe, Group Investor Relations Executive.

Karl and Modupe will take us through the presentation today. Karl will begin with an overview of our operational performance, and hand over to Modupe for the financial highlights. Karl will then return to share our medium term outlook.

Please note that this call is being recorded and all participants are in listen-only mode. As you are aware, our results were released yesterday and are available in the Investor Relations section of our website.

Lastly, this call is scheduled to last one hour. With that, I will now hand over to Karl

Karl Toriola: Good afternoon, everyone. It's good to see all our usual friends on the call today as we engage with you and share our full-year 2025 results.

As Chima has indicated, we will follow our usual order. I'll begin by covering our commercial and operational highlights. After that, Modupe will take you through the financial performance in some detail, and I'll then close with a recap of our strategic priorities and guidance before we open the floor for Q&A.

Ahead of the presentation, a brief note on the MTN Group-IHS transaction. MTN Group, I emphasise, has announced plans to acquire the remaining shares of IHS. It is important to note that this is not an MTN Nigeria transaction. For us, it is business as usual, as our existing tower lease agreement remains unchanged. For those who may have questions, there is really nothing much more to say on the IHS transaction for now and I suggest you direct any related questions to MTN Group, where the transaction is being done.

Moving on to our key messages, 2025 marked a year of renewed momentum for our business, with solid operating and financial performance. This was reflected in strong top-line growth and margin expansion, supported by a more enabling macroeconomic environment. This improved performance translated into a return to profitability, restoration of positive retained earnings and shareholders' equity and the resumption of dividends in Q3—which you already saw in the Q3 results.

The board has recommended a final dividend of N15, bringing the total dividend for the full financial year to N20 per share, reinforcing our commitment to sustainable shareholder value creation. These outcomes were underpinned by strong commercial momentum and effective execution by the management team, alongside a much healthier financial profile, characterised by reduced foreign exchange pressure, stronger liquidity and robust free cash flow.

Modupe will walk you through these financial developments in more detail. Let me now move on to the operating context, while re-emphasising that we have delivered a full turnaround, executing every element of the five-point plan we communicated at the 2024 Extraordinary General Meeting (EGM).

Turning to the operating context, macroeconomic conditions continued to improve in 2025, supported by a more stable foreign exchange market, improved liquidity, and a stronger naira. Inflation declined steadily throughout the year, with headline inflation ending December 2025 at 15.2%. This reflected the rebasing of the Consumer Price Index, supported by effective monetary policy. These developments, together with our tower lease contract renegotiations announced in August 2024, substantially reduced pressure on our cost profile and supported margin expansion. From an economic activity perspective, the environment was relatively constructive throughout 2025. Growth was driven largely by the non-oil sectors and provided a more stable demand backdrop for our services.

To re-emphasise, two very significant shifts in the economy also supported the environment: the removal of fuel subsidy and the free-float of the naira with improved price discovery. Of course, the commencement of the Dangote refinery supports the broader economy, and the MPR management was very effective. These big shifts enabled us in the past period.

Moving on to the key financial highlights, we delivered a strong set of results. Service revenue increased by approximately 55%, reflecting robust commercial momentum across the business. Excluding the prior-year USSD revenue recognition in Q4 2024, underlying growth was approximately 59%. I'm emphasising this because if you haven't factored in the December 2024 USSD recognition, you might perceive our Q4 to be a slowdown. There was no slowdown at all. The apparent effect is purely a base-effect comparison, as December 2024 included an exceptional once-off USSD revenue recognition. Our momentum in Q4 remained strong.

Data remained our primary growth engine, increasing by 74.5% and accounting for more than half of total revenue. Voice was also very resilient, growing by 42.1% over the year. Financial and digital services provided additional growth vectors, further diversifying our revenue base. Profitability strengthened materially, with EBITDA more than doubling to N2.7 trillion and margins expanding to 52.7%. This was driven by operating leverage, disciplined cost management, and more stable macroeconomic conditions, particularly the strengthening and stability of the naira.

We also significantly stepped-up investment during the year, with capex intensity remaining within our target range, reflecting our commitment to enhancing quality of service. Investments focused on capacity expansion, radio densification, spectrum optimisation, coverage rollout, selective fibre deployment, and the establishment of our Tier III data centre. Despite these elevated investments, cash generation remained strong, enabling deleveraging to a net cash position and reduced in U.S. dollar exposure. Modupe will speak to all these points in detail. Overall, we delivered sustained profitability and a materially strengthened financial position.

Moving on to Slide 8, this slide highlights the resilience of our connectivity engine throughout 2025, underpinned by disciplined execution, network investments and continued structural demand for data —and I want to strongly emphasise *disciplined execution*. This team has been very disciplined, measured and has consistently followed through on the commitments we made to the market—almost always without exception. So, a big thank-you to the team for that disciplined execution.

Commercial momentum was supported by base expansion, higher data usage, and effective customer value management, while ongoing network investments ensured quality was maintained as traffic scaled. It is also important to remind you that this performance was achieved alongside tariff increases. While we implemented a headline 50% tariff increase—which did not fully translate into a 50% effective increase—volumes continued broadly along the same trajectory. If you have questions on this, Ayham will be happy to address them.

Data adoption and engagement continued to deepen, with strong growth in traffic and usage, supported by rising smartphone penetration, which reached 66.1%, reinforcing demand for high-speed connectivity and our ability to capture greater value as digital engagement increases. During the year, we added 5.5 million data users, alongside 34% growth in traffic and a 20% increase in data usage per subscriber.

Home broadband remains central to our data growth strategy. By prioritising fixed wireless access and accelerating our fibre-to-the-home, we are efficiently serving growing household demand while deepening our leadership in home connectivity.

Turning to Fintech, our strategy recalibration continues to yield positive results, particularly around wallet quality, ecosystem health, digital engagement and revenue growth. Core Fintech revenue increased by 188%, contributing approximately 6% of reported Fintech revenue, excluding XtraTime. Total Fintech revenue, including XtraTime—our airtime lending solution—rose by 79.7% to approximately N191 billion. Following a targeted H2 push focused on deepening rural penetration, stabilising the app experience, intensifying agent and merchant activations, and strengthening digital customer value management (CVM), we expanded active wallets to 3.7 million as at December 2025. We remain focused on quality, strengthening product reliability and differentiation to drive retention and long-term customer value—while continuing to advance our rural strategy. At the same time, we are scaling digital payments through an expanded interoperable ecosystem and increased transaction capacity, supporting broader adoption of digital financial services. Our technology investments underpin this progress, improving platform stability and speed of delivery and positioning Fintech as a scalable and sustainable growth engine.

We continue to reinforce our commitment to creating shared value. Our approach is anchored on four pillars: eco-responsibility, sustainable societies, sound governance and economic value-add. Together, these pillars reflect how we balance growth with responsibility. Through these efforts, we continue to positively impact lives, foster economic growth and inclusion and strengthen governance across all our operations. From an environmental perspective, we made further progress in reducing our Scope 1 and Scope 2 emissions year-on-year, reinforcing our commitment to lowering our carbon footprint and operating more sustainably. Across our communities, we expanded broadband coverage, deepened financial inclusion and advanced corporate social investment through the MTN Foundation, ensuring that our growth translates into broader societal impact. From a governance standpoint, we continue to strengthen trust through high standards of compliance, transparency and accountability, supported by improvements in reputation metrics and external recognition. In terms of economic value-add, we continue to create tangible value through sustainable capital investments, significant contributions to government revenues and dividend payments to shareholders, in line with our commitment to long-term sustainable value creation.

I will close this section with a brief scorecard of our performance against our single-year 2025 guidance. As you can see, we delivered across all our objectives. Service revenue growth came in at 55.1%. Excluding the once-off USSD revenue recognised in Q4 2024, our underlying service revenue growth was approximately 59%. I want to reiterate this point: if you remove the exceptional USSD revenue recognised in Q4 2024 and compare 2025 with 2024 on a like-for-like basis, the underlying growth rate is approximately 59%.

Our EBITDA margin and capex intensity were both within guidance, reflecting disciplined execution across the business. Overall, this performance underscores our commitment to growth and operational efficiency. I will now hand over to our CFO for the financial review and I will return later to discuss our outlook.

Thank you. Modupe, over to you.

Modupe Kadri: Thank you, Karl, and good afternoon, everyone. Thank you for joining us today. As I take you through the financial review, I'd like to begin by stepping back and outlining the key factors that underpinned our performance in FY 2025. First, the operating environment was more supportive than in prior years, as Karl has already highlighted. We benefited from stronger macroeconomic tailwinds, including generally improved macro conditions, a more stable foreign exchange market, improved FX liquidity, and easing inflation. The naira also appreciated by approximately N100 year-on-year, further supporting our performance. All of these factors materially reduced pressure on our cost base and margins.

The second key driver was pricing adjustments, which were a critical enabler of performance. Following regulatory approval in January 2025, we implemented a phased and disciplined pricing approach, with the full run-rate impact coming through in the second quarter. Importantly, demand remained resilient throughout this transition, supporting strong service revenue growth.

Third, we continued to drive operational efficiency. We realised significant savings from the renegotiated IHS tower contracts, arising from reduced foreign exchange indexation, caps on CPI escalation, diesel price indexation, and ongoing underlying expense efficiency initiatives. Altogether, these efforts generated approximately N289 billion in opex savings.

Fourth, we accelerated investment in the business. As you can see, capex more than doubled, and as Karl mentioned earlier, we stepped up investments across connectivity and platform capabilities. Collectively, these factors translated into a much stronger financial profile. On the back of this performance, the Board has proposed a final dividend of N15 per share, bringing total dividends for the financial year to N20 per share.

Moving on to our revenue and expense profile, top-line growth was broad-based, as you can see across the charts and across all key product lines. This performance was supported by resilient demand for our services and disciplined commercial execution. Total expenses increased by 20.2%, which was below the average inflation rate for the year. Cost of sales rose by 30.3%, significantly lower than the 54.9% growth in top-line revenue. Operating expenses increased by 16.7%, reflecting the impact of the cost-saving initiatives we put in place, and this flowed through positively to the bottom line.

Turning to EBITDA growth and margin expansion on the next slide, EBITDA more than doubled, increasing by 108.9%. You will also note meaningful margin expansion alongside a strong, consistent quarterly trajectory. This reflects operating leverage as revenue growth outpaced the cost base. Lower foreign exchange risk further supported margins, underpinned by reduced FX exposure and a stronger naira throughout the year. Finally, on this slide, I will touch on our EBITDA margin sensitivity to foreign exchange movements. A 10% movement in exchange rates, either up or down, would have an impact on margins of approximately 0.9-1.1 percentage points.

Turning to free cash flow, stronger margins and disciplined capex allocation underpinned robust cash generation. In FY 2025, free cash flow increased materially to N1.2 trillion, more than tripling year-on-year. Working capital inflows moderated to N73 billion, reflecting higher supplier payments during the period. We also recorded higher lease-related interest outflows following the extension of our tower lease terms—recall that last year we renegotiated these leases to an eight-year tenor. This was partly offset by lower interest expense on borrowings and other financial leases, net of interest income. Importantly, this level of cash generation was achieved despite increased capex and loan repayments, underscoring the strength of our earnings and cash conversion.

On capital structure, our strong free cash flow provided a solid foundation for deleveraging, improved liquidity, and a more resilient balance sheet, as we de-risked the business and strengthened our debt metrics. We closed the year with a positive net cash position of approximately N105 billion, compared to a net debt position of approximately N720 billion in 2024. During the year, we repaid N434 billion in facilities, reducing our loan balance by 45%. This included the full settlement of all outstanding commercial paper, achieved without any additional borrowing during the year. As repayments were weighted toward naira-denominated instruments, the naira share of borrowings declined modestly to 71%, compared to 73% last year. We also significantly contained foreign exchange exposure in absolute terms through the settlement of our US$ LC obligations and a reduction in our US$ loan balance to $105 million, down from $146 million in 2024.

As a result, our debt metrics improved materially. Net debt to EBITDA stood at negative 0.1 times, reflecting our positive net cash position, while coverage metrics remained strong, with interest cover at 26.5 times—comfortably above covenant thresholds. Overall, we remain well positioned, with ample liquidity and disciplined capital management. These fundamentals underscore our capacity to pursue our growth ambitions while preserving the flexibility to navigate a dynamic macroeconomic environment.

With that, I will hand back to Karl to walk us through the business outlook and priorities going forward. Thank you.

Karl Toriola: Thank you, Modupe. Just to mention, beyond eliminating a significant portion of our US$ liabilities, we have also materially reduced US$ linkage across our core structures—particularly within the TowerCo arrangements, which were previously heavily dollar-indexed. What this means is that the balance sheet is now significantly stronger. Even if we were to experience meaningful foreign exchange shocks, the impact would not flow through as aggressively as it did in the past. It would still have an effect, as Modupe has outlined through the sensitivity guidance, but nowhere near the levels we saw previously. The result is a very resilient balance sheet—one that has been deliberately and carefully built.

Looking ahead as we enter 2026—with optimism, we remain firmly focused on disciplined execution. Building on the strong recovery achieved in 2025, we will accelerate our three-platform strategy to deliver medium- and long-term growth and value creation. Starting with our core platform, connectivity remains central to our strategy. We will continue to drive strong growth across our connectivity services, sustaining leadership through enhanced customer experiences, targeted investments, and disciplined commercial execution. A key priority is accelerating our "own-the-home" strategy. We are scaling both fibre-to-the-home and fixed wireless access, significantly expanding the availability of fibre connectivity to meet growing household demand for high-quality, reliable broadband.

In Fintech, we will continue to scale reliable digital financial services and accelerate digital payments through a stronger, interoperable platform and targeted technology investments. Our focus remains on expanding access, deepening financial inclusion, and positioning the business for sustainable growth. Internally, we are deepening our artificial intelligence capabilities to deliver customer-facing applications, broaden and enrich our digital services portfolio, and simplify our digital channels to create a more intuitive and unified customer experience.

In terms of our digital infrastructure platforms, we will scale and monetise our data centre capabilities. We are now offering cloud computing, applied computing, and storage solutions through our data centre

platform. At the same time, we will leverage artificial intelligence—under robust governance—to improve productivity, enhance customer experience, and drive cost efficiency.

We maintain our target average service revenue growth of at least the low-20s percent. There are a few important points to note here. First, this guidance reflects a medium-term horizon, meaning we are looking at averages over a three- to five-year period.

Second, the impact of the recent price adjustments will be fully absorbed by Q2 2026. From that point onwards, the base effect of the headline 50% tariff increase will no longer be present in year-on-year comparisons, and this is an important consideration when thinking about growth dynamics going forward.

Third, inflation is a key reference point. With inflation ending December at around 15%, a low-20s percent revenue growth target represents growth meaningfully above inflation. While we remain constructive on demand and growth dynamics in Nigeria, these are important factors to bear in mind when assessing our guidance.

In terms of EBITDA margin, we are revising our guidance upward from the 53–55% range to the mid- to high-50% range. This is based on current economic assumptions, including average inflation remaining in the mid-teens and exchange rates within N1,400-N1,700/US$.

Following the investment step-up in 2025, capex intensity is expected to moderate over the medium term, without compromising growth opportunities. Where we see opportunities to accelerate capex and generate additional growth or competitive advantage, we will do so. Where we do not, we will remain highly disciplined in our capital allocation. Execution will continue to be anchored on disciplined capital expenditure, cost efficiency, and strong cash conversion, enabling sustained investment across connectivity and platform businesses.

We remain confident in our ability to adapt swiftly, capitalise on emerging market opportunities, and deliver long-term sustainable value for our shareholders, while advancing inclusive digital progress across Nigeria.

With that, I will hand over to Chima to moderate the Q&A session. Thank you.

Chima Nwaokoma: Thank you, Karl and Modupe, for walking us through our performance. We will now move to the Q&A session. Cesar, over to you.

Tiron Cesar: Good afternoon, everyone. Congratulations on the outstanding results and thank you for the opportunity. I have two questions.

First, could you provide some colour on the 2026 revenue outlook? I understand that you have not issued a formal guidance, but any insight would be helpful. Do you think that there could be further price increases in 2026? How confident are you about volume growth next year and is it reasonable to expect that 2026 growth could be somewhat higher than your medium-term guidance?

My second question relates to the balance sheet. It appears that almost all your debt is now floating-rate. Our economist expects around 600 basis points of rate cuts in Nigeria this year. If that plays out, how quickly would those rate cuts feed through to your interest expense?

Thank you very much.

Chima Nwaokoma: Next is Samuel.

Samuel Gbadebo: Good afternoon, everyone, and congratulations on the very impressive 2025 results. I have two questions.

First, we noticed a higher effective tax rate. Could you please explain what is driving the increase?

Second, given the pace at which you've been repaying borrowings, it would be helpful to understand how you are thinking about leverage and whether there is a specific target in mind, as this would help us better frame our expectations.

Thank you very much.

Chima Nwaokoma: Thank You. Next is Madhvendra.

Madhvendra Singh: Thank you for taking my question, and congratulations on a great set of results. I have two main questions, followed by a couple of very brief follow-ups.

First, on your cost of sales outlook: given that inflation has now declined to around 15%, and considering that cost inflation was quite elevated last year—with cost of sales increasing by about 30%—should we expect cost of sales growth to come in below inflation this year? Any guidance on that would be very helpful.

Second, on the mobile money space: do you see any scope for in-market consolidation, and how would you see your role evolving if that were to occur?

Finally, could you share some metrics around your 5G footprint—specifically population coverage, penetration within your base, and the percentage of overall data traffic currently carried on 5G?

Thank you.

Karl Toriola: Thank you for your comments, Cesar. We remain bullish on volumes. We believe there is a sustained and structural demand for data growth in Nigeria. In terms of our response on the revenue outlook, our medium-term guidance remains average service revenue growth in the low-20s percent and that is the framework we are committed to.

For 2026 specifically, it's important to consider the timing effects. You'll need to factor in when the tariff increases took effect in 2025 and how those impacts begin to normalise as we move toward the guidance period. From Q2 2026 onwards, the base effects from last year's tariff adjustments will largely wash through, and that will influence the year-on-year growth profile.

So, while we are not providing formal single-year guidance for 2026, we remain comfortable with our medium-term outlook.

Madhvendra, on cost of sales, in principle this does not strictly track inflation. It is largely driven by volumes and consumption rather than inflation alone. So rather than anchoring expectations to a below-inflation outcome, we think it's more appropriate to link cost of sales to top-line growth.

Our focus has consistently been on margin expansion—particularly gross margin optimisation. As you saw this year, margin expansion was not driven solely by operating expenditure control; cost of sales was also managed very effectively. Going forward, we intend to continue delivering gradual improvements in margins, which is why you see an improvement in our medium-term margin guidance. This will be supported by efficiencies across both operating expenses and cost of sales.

That said, inflation is not irrelevant. Certain components of cost of sales—such as devices—are impacted by foreign exchange movements and inflationary pressures. However, a significant portion of cost of sales is directly linked to customer consumption patterns, which ties it closely to revenue growth dynamics rather than headline inflation.

On in-market consolidation, we are not aware of anything imminent at this point. That said, consolidation is always a possibility, particularly in the Fintech space where there are multiple players. We remain open to opportunities—whether partnerships or, in the worst case, acquisitions—but there is nothing active or imminent today. Our immediate priority remains disciplined execution within MoMo. We acknowledge that the business has not yet fully delivered on its original expectations, and we have recalibrated accordingly. We are focused on strengthening the technology platform to ensure it is competitive and agile, driving rural expansion and building the business steadily over time. Along that journey, should opportunities for partnerships or acquisitions arise, we will evaluate them thoughtfully.

With that, I'll hand over to Ayham to address your questions on population coverage, 5G penetration, and traffic mix. After that, we'll come back to Modupe to take the remaining questions. Thank you.

Ayham Moussa: On 5G population coverage, we are currently at just over 12% nationwide. Traffic penetration on 5G remains closely linked to device availability, which is still relatively low across the market. However, wherever we have 5G coverage, we are seeing a strong proportion of traffic on sites where 5G co-exists with 4G and 3G. Our deployment strategy is targeted: we prioritise areas with high 4G traffic demand or sufficient device penetration. In those locations, we are seeing encouraging returns in terms of 5G traffic volumes.

Thank you. Modupe, over to you.

Modupe Kadri: Cesar, Karl has already addressed the revenue outlook, so I won't dwell too much on that. Suffice it to say that, as the year progresses, if there is any need to revisit our assumptions, we will do so. That said, it's also important to bear in mind the broader market dynamics, including how competitors respond, which we observed quite clearly over the course of the past year.

On the balance sheet point, we would like to acknowledge an error on the slide relating to the split between floating and fixed rates—the legend is reversed. Floating-rate instruments account for 6%, while fixed-rate instruments represent 94%. This can be corroborated in the financial statements. As a reminder, our 7- to 10-year bonds make up the bulk of the fixed-rate portion.

Turning to Samuel's question on leverage targets, from our perspective, the key priority today is balance-sheet resilience. We have seen how these leverage metrics—such as debt-to-equity ratios—can become extremely punitive in periods of foreign exchange devaluation. As such, our focus is on maintaining a balance sheet that is resilient and retains the capacity to take on debt if there is a compelling strategic need to do so. At present, our priority has been to repay high-cost instruments, and we expect the benefits

of that to continue to flow through. If you look at our net finance costs, you'll see that they are well below the policy rate—by around 10 to 12 percentage points—which reflects the mix and structure of instruments we currently have on the balance sheet.

On cost of sales outlook. The simplest way to think about cost of sales is that it does not necessarily track inflation. Cost of sales generally moves in line with revenue growth. So, if revenue growth is in the mid-20s or higher, then cost of sales will naturally grow as well. However, our consistent objective has been to ensure that cost of sales, and indeed operating expenses, grow more slowly than top-line revenue. That margin discipline is central to how we manage the business, and it underpins our focus on sustained margin expansion over time.

With that, I believe we've addressed all the questions. Back to you, Chima.

Chima Nwaokoma: Thanks, Modupe. Tajudeen, over to you.

Tajudeen Ibrahim: Good afternoon, and congratulations on the very solid results. Thank you for taking my questions.

My first question relates to the fourth-quarter performance. Karl touched on this briefly, but I'm not sure I fully understood the drivers behind what appeared to be slower-than-expected revenue growth in Q4. I'd appreciate it if you could elaborate further on that.

My second question is on Fintech. You've highlighted rural penetration as a key area for growing the business. Could you speak in more detail about the strategy behind this focus and what we should expect to see as a result going forward?

Thank you very much.

Chima Nwaokoma: Thank you, Tajudeen. Linet

Linet Muriungi: Thank you, and congratulations on the exceptional results. I have three questions.

First, could you share any upside, or downside risks that management sees for 2026, particularly given that it is a pre-election year?

Second, about MTN's network-sharing agreement with Airtel Africa, could you provide some colour on the structure of the agreement and its impact in Nigeria?

Finally, what impact did you observe following the removal of the 5% excise duty on telecom services in August 2025? Specifically, have you seen a net positive effect on voice and data traffic growth between then and December?

Thank you.

Chima Nwaokoma: Thanks, Jonathan.

Jonathan Kennedy: Good afternoon and thank you for the opportunity to ask questions. I have a few questions, primarily on Fintech and the network.

First, on Fintech revenue: core Fintech revenue, as you've broken it out, is growing very strongly. Could you clarify whether interest earned on customer float is recorded within that revenue line, or whether it sits below EBITDA or elsewhere in the income statement?

Second, beyond the focus on rural penetration, what specific product activations are driving the growth in MoMo wallets? And should we expect this momentum to continue?

Finally, on the network, could you share how you are thinking about network capacity and available headroom going forward? Are there any spectrum renewals coming up over the next year that we should be mindful of?

Thank you.

Chima Nwaokoma: Okay, thanks. Karl, we can take these sets.

Karl Toriola: First, Tajudeen, I'll explain the Q4 growth profile. I'll also touch briefly on rural penetration and then ask Omolara to add further colour. Linet, I will address the upside and downside risks for 2026, given the pre-election dynamics. I will then ask Ayham to speak to the network-sharing agreement with Airtel.

On the excise duty point, the 5% excise duty was never implemented. It was announced and later cancelled, but it was not in effect at any point, so there is no impact to analyse.

On Fintech revenue accounting, specifically float interest income and wallet growth drivers, I'll ask Omolara to address those.

On spectrum renewals: as far as I recall, there is no imminent spectrum renewal in 2026. I would double-check that.

Tajudeen, at the end of 2024, you'll recall there was a final settlement of the long-running USSD bank debt issue between the telcos and the banks, brokered by the NCC and the Central Bank. Once that settlement was concluded late in December, we recognised a significant portion of the historical debt in our books—essentially a reversal of the prior write-off—of about N76 billion. That created an exceptional, once-off revenue item in Q4 2024, which made that quarter look unusually large. If you remove that once-off item from Q4 2024, you will see that Q4 2025 continued along the normal operational trajectory—there was no slowdown.

In terms of the upside and downside risks for 2026, particularly as we approach an election year, it's worth noting that governments typically seek to demonstrate progress and tangible achievements. As such, we continue to work constructively with the government of the day, regardless of administration. Initiatives such as the Road Infrastructure Tax Credit (RITC) programme will continue, allowing the government to showcase development outcomes while supporting national progress.

We engage ethically on projects that align with broader development objectives, and it is not unusual to see heightened levels of activity during campaign periods, which can drive incremental traffic in certain locations.

From a macroeconomic perspective, one would generally expect efforts to ensure stability ahead of elections. That said, Nigeria benefits from a highly professional and independent Central Bank, which gives us confidence in the overall macro management framework. Overall, based on what we see today, there is nothing that materially concerns us or alters our risk outlook.

With that, Ayham, I'll hand over to you to address the Airtel network-sharing question, after which we'll move to Omolara to take the Fintech questions.

Ayham Moussa: Thank you, Karl.

The network-sharing agreement with Airtel was concluded at Group level, and in Nigeria it broadly maintains the same collaboration framework. In essence, it focuses on areas where operators typically collaborate. This includes passive infrastructure sharing—for example, where MTN has tower presence and Airtel does not, or vice versa, we can share those towers. We also collaborate to improve overall network resilience. Where Airtel has fibre assets and we do not, and vice versa, there are opportunities to share or swap fibre to strengthen both networks. In Nigeria we are implementing it in a phased manner, starting with one aspect and expanding to others over time. That is the appropriate way to frame the network-sharing arrangement.

Omolara Michael-Nwadu: Thank you. Good afternoon. On rural penetration, our approach is closely aligned with the CBN's financial inclusion agenda. We identified several underserved, low-income communities with limited access to formal financial services. To address this gap, we have leveraged our distribution engine to extend our reach into these areas. These communities are typically made up of farmers, artisans, and small traders operating at lower income levels.

One of the most "sticky" services in these markets is airtime. Historically, customers relied on physical or paper-based airtime purchases. Today, they are able to access airtime digitally, which has significantly improved convenience and adoption.

Fund transfers have also seen strong uptake, supported by enhancements to our platform and app experience, making transactions more seamless and reliable. This has driven growth in customer deposits, as customers increasingly retain funds in their wallets to make subsequent transfers or purchases.

Finally, to address the question on float income: interest earned on customer float is reported within the revenue line.

Chima Nwaokoma: Okay. Thanks, Lara. Jono, you can go ahead.

Jono Bradley: First, a follow-up on Fintech. Could you clarify whether the majority of revenue in the Fintech business is driven by airtime sales—that is, recharges?

Second, on overall pricing: have there been any discussions with the regulator around inflation-linked pricing increases going forward, or has that been taken off the table for now?

Finally, on fibre-to-the-home, could you share some detail on how many homes you've passed, connection or take-up rates, and the key areas you are focusing on? It would also be helpful to understand what proportion of capex is being allocated to the fibre rollout.

Thank you very much.

Chima Nwaokoma: Thanks, Nadim.

Mohamed Nadim N: Good afternoon, and congratulations on a fantastic set of results. I have two brief questions.

First, on the enterprise segment: some of the high-growth areas such as cloud services, the marketplace, and the data centre are scaling well. Could you help us understand how the margin profile of these revenue streams compares with the legacy connectivity business?

Second, smartphone penetration has increased nicely to 66%. I assume this figure includes 3G devices. Could you provide some insight into current 4G device penetration across your network?

Thank you.

Chima Nwaokoma: Okay, Tracy

Tracy Kivunyu: Thank you, and congratulations on a great set of results. I have a few questions.

First, on data and voice revenue: the year-on-year growth in the fourth quarter appears to have slowed compared with the third quarter, with roughly a two-percentage-point reduction in both lines. Could you explain what drove this, particularly given the seasonality we would typically expect during the holiday period?

Second, on your PSB licence and ongoing discussions with the Central Bank of Nigeria around Fintech reforms—has there been any progress? Are you encouraged by the prospects of being able to lend independently as a PSB licence holder, or by the potential for higher monetisation rates across PSBs?

Finally, on the VAT impact on leases following the recently announced VAT reforms: given that you are now close to two months into the first quarter, could you share any early sensitivity or indication of the impact of reclaiming input VAT on your EBITDA margin and capex intensity targets?

Thank you.

Chima Nwaokoma: Okay, let's take Myuran.

Myuran: Thank you, so much. I'd like to understand whether you are lighting up the entire T2 mobile spectrum across your network. Also, is there any form of bilateral roaming in place—either MTN roaming on their network or vice versa?

Second, on voice revenue: price increases have supported growth in the past. Looking ahead, given ongoing voice-to-data substitution and the possibility of no further price increases, how are you thinking about voice growth in the medium term? Should we still expect positive growth, even if modest?

Finally, a question on dividends. Historically, MTN has been a strong dividend payer with a relatively high payout ratio. While I understand this ultimately sits with the Board, could you share your current thinking around dividend expectations going forward?

Thank you.

Chima Nwaokoma: Okay, thanks. Karl.

Karl Toriola: I'll start by handing over to Ayham to address the questions on bilateral roaming, pricing adjustments, expectations for voice revenue, fiber homes passed and Capex allocation; Lara will cover Fintech revenue mix and Modupe will touch VAT/EBITDA and dividends.

Ayham Moussa: Thanks, Karl.

On the question around the apparent slowdown in data and voice growth, I think Karl has already referenced the USSD impact in Q4. If you isolate USSD and look at a like-for-like quarter-on-quarter comparison between this year and last year, performance is broadly consistent.

It's also important to recall the dynamics we discussed in Q1 and Q2 following the pricing adjustments. At that time, we highlighted that there would be a full-year elasticity adjustment. In Q2, we saw a significant step-change, with total revenue growth of around 25%. That created a higher base, and as customers adjusted, elasticity naturally began to stabilise through Q3 and into Q4. This is an important context when comparing quarterly growth rates.

Turning to the discussion on voice-to-data substitution and voice growth more broadly, some level of substitution is inevitable, as it is across all telecom operators. However, there remains room for growth in voice, driven primarily by network expansion and coverage. We often refer to this as "fresh money"—acquiring new customers through expanded coverage, as well as increasing usage within our existing footprint.

In addition, we continue to deploy a range of demand-generation and stimulation initiatives for voice, supported by customer value management activities and targeted field campaigns. These include promoting specific bundles and voice offers to drive engagement and usage. That, in summary, is how we think about the interplay between data, voice, pricing dynamics and growth trends.

On T2, this is not a bilateral roaming arrangement. T2 roams on our network, and by regulatory agreement they roam fully on our network across the country, except for one state. In effect, they utilise our network nationwide, and we are also able to use their spectrum across our network.

On the question around fibre-to-the-home, we have not publicly disclosed the exact number of homes passed or connected. That said, we are confident that we are currently a market leader in terms of home-pass coverage. We continue to pursue ambitious growth targets in this area, and those ambitions are reflected in the level of capex we are allocating to fibre. We see fibre as a critical long-term growth platform for the business over the next five to ten years and beyond.

Finally, on the margin profile of data centre and cloud services, I don't have the precise margin figures at hand and wouldn't want to provide inaccurate numbers. What I can say is that the underlying business cases are healthy from a margin perspective, and we are actively executing our growth plans. We can follow up offline or have Investor Relations provide additional details as appropriate.

Thank you.

Omolara Michael-Nwadu: Thank you.

On the Fintech questions, there were two key areas raised: whether airtime represents the majority of our revenue, and the status of licensing discussions with the Central Bank.

To put the revenue mix into context, it's important to recognise that many core financial services—such as transfers—are priced at very low levels, and in some cases at zero, due to competitive dynamics. As a result, while transaction volumes and values are significant, the associated revenue does not always fully reflect that scale.

Airtime, therefore, is not the dominant contributor to Fintech revenue. However, in terms of transaction value, a substantial portion comes from transfers and other payment services, even though this may not translate proportionally into reported revenue.

In addition, interest income on customer float has become increasingly meaningful. As our float has grown significantly over the past year, interest earned on those balances now represents an important component of Fintech revenue.

On lending and licensing, discussions with the Central Bank and the regulator are ongoing. There has been no conclusion yet, but once there is clarity, we will communicate that to the market.

Modupe Kadri: On the questions relating to VAT, EBITDA, and capex, we will be better positioned to assess the impact by the end of the first quarter. At this point, we are only about two months into the year, and December was largely focused on remittance-related processing and year-end activities.

By the Q1 results call, I expect to be able to provide a clearer and more precise view of the impact. That said, we do expect the overall effect to be positive, and I will share the specific details once they are fully reflected in the numbers.

In terms of dividend expectations, our dividend policy remains as published and unchanged. We have not issued any communication indicating a revision to that policy, and therefore expectations should continue to be modelled in line with the existing framework.

Thank you.

Karl Toriola: Just to be clear, there are a couple of points I'd like to add. Our dividend policy provides for a payout of at least 80% of retained earnings. That remains the policy, and there has been no change to it.

Of course, if there are no retained earnings, a different approach would naturally apply. However, the policy itself remains unchanged.

A few additional comments.

First, the authorities remain open to inflation-linked pricing. That said, the strength of this set of results suggests that there may not be an immediate urgency around further tariff adjustments. From our perspective, the more important issue—and one where the capital markets can play a constructive role—is ensuring responsible pricing across the industry.

We have seen instances where tariff increases are implemented, only for competitive pressures to subsequently drive prices back to prior levels. Before seeking additional tariff adjustments, it is critical that the industry prices responsibly. MTN continues to maintain pricing discipline, which is evident in our financial disclosures. In contrast, some competitors are moving in the opposite direction, which is not healthy for the industry, and these are important questions for investors to consider.

Separately, Ralph and I recently visited the CBN, and it was clear that the Bank's posture—consistent with broader reforms—remains transparent, structured, and supportive. The Central Bank has no issues with issuing licences where appropriate; our responsibility is to ensure that our structures are fully aligned. Importantly, the Bank remains very open to initiatives that accelerate financial inclusion, and I felt it was important to highlight that.

Just to reiterate a point on T2 Mobile: Effectively, T2 shut down its active network and now roams entirely on our network. We do not roam on theirs. They roam 100% on MTN, and there is no reciprocal or consequential roaming arrangement. I wanted to make that clear.

Finally, on Q4 performance, excluding the one-off USSD revenue recognised in Q4 2024, our Q4 2025 total revenue growth was approximately 62%. I hope that definitively addresses any concerns around the growth trajectory when comparing Q4 2025 with Q4 2024.

I just wanted to emphasise those points.

Chima Nwaokoma: I think we will wrap up now. Please feel free to reach out to me directly if you have further questions. Karl, if you have any closing remarks, please go ahead; otherwise, I'll bring the call to a close.

Karl Toriola: Thank you. I've said this consistently, and I'll say it again, I am extremely proud of this team. Their ability to take tough decisions, act decisively, execute rigorously and deliver on their commitments has been exceptional.

While we haven't spent much time on it today, our quality of service is something we are particularly proud of and it underpins our ability to command a premium in the market. Independent drive-test results, including those published by the NCC and Ookla, consistently rank us number one across all technologies and geographies. This reflects the depth of our investments and the superior service we continue to deliver.

Beyond network quality, we are also undergoing a comprehensive customer-experience transformation programme, which we believe will become a key source of competitive advantage going forward.

We've spoken extensively about Fintech, and I believe it's now about continuing to demonstrate momentum—measured, disciplined momentum—so that the market can see the progress clearly.

Where we are executing particularly well is fibre-to-the-home. I would encourage you to review the regulator's reports as they are released; the trajectory will clearly show that we are market leaders in this space. We are pushing aggressively and allocating a significant amount of capex to fibre. While I won't provide specific figures, we firmly believe this is a long-term growth platform that will drive a substantial portion of our revenue over the next three, five, seven, and indeed many more years.

Above all, I want to reiterate how proud I am of this team and thank them for delivering such an outstanding set of results.

Thank you.

Chima Nwaokoma: Thank you, Karl, and thank you to everyone who joined the call today. My apologies to those whose questions we were unable to take due to time constraints. As mentioned, please feel free to reach out to me directly and I will be happy to provide you with responses.

We appreciate your continued engagement and support, and we look forward to speaking with you again during our Q1 results call. The transcript from today's call will be made available over the course of next week.

Thank you all, and goodbye for now.

End of transcript

Note: this transcript has been edited for accuracy.